

BRIC BY BRIC

WITH THE US GOING ALL OUT TO IMPOSE PUNITIVE TARIFFS ON BRICS NATIONS, THE GROUPING HAS GOT ANOTHER CHANCE TO MAKE ITS PRESENCE FELT AT THE GLOBAL HIGH TABLE

BY ARCHNA SHUKLA

BRICS WAS described as a failed project by JP Morgan economist Jim O’Niel two decades after he coined the acronym BRIC for Brazil, Russia, India and China. These economies, he said in 2001, were poised to shift the global economic structure led by the G7. The four nations held their first formal summit in 2009. BRIC became BRICS after South Africa joined a year later. In subsequent years, the bloc set up a financial framework to have greater autonomy in global trade and governance, but nothing concrete came out of the proposal.

BRICS, however, is in the limelight again, thanks to US President Donald Trump, who has called BRICS “anti-America” and “anti-dollar” and threatened an additional 10% levy, in addition to bilateral tariffs, on countries aligning with the bloc. “BRICS was a side-show on the global arena of multinational economic and geopolitical groups. President Trump has put it on the centre stage,” says Arpita Mukherjee, Professor at ICRIER, and a policy expert.

Trump alone, however, is not to be credited for the attention on BRICS. More than 30 developing economies are currently knocking on its doors seeking admission. “BRICS is one of the most appealing groupings in the world today,” says Yaroslav Lissovolik, a Russian economist and a member of the Russian International Affairs Council. “The bloc (has) expanded its core membership two-fold, from 5 to 10, and introduced a partnership belt that takes the overall number of BRICS+ economies to 20,” he adds.

